

SAMPLE EMPLOYMENT CONTRACT

For Legal AI Testing Purposes Only

1. PARTIES TO THE AGREEMENT

This Employment Agreement is entered into between ABC Technologies Pvt. Ltd., a company registered under the Companies Act 2013, hereinafter referred to as the **Employer**, and Mr. Ramesh Kumar, aged 24 years, hereinafter referred to as the **Employee**.

2. DESIGNATION AND DUTIES

The Employee shall be appointed as a Software Developer. The Employee agrees to work exclusively for the Employer and shall not engage in any other employment, business, or occupation during the term of this agreement, whether paid or unpaid, without prior written consent.

3. WORKING HOURS

The Employee shall work a minimum of **12 hours per day, 7 days a week**, including Sundays and public holidays, as required by the Employer. No overtime compensation shall be provided for hours worked beyond the standard shift. The Employer reserves the right to extend working hours without any additional remuneration.

[NOTE FOR TESTING: This clause violates the Factories Act 1948 and Shops & Establishments Act which limits working hours to 9 hours/day and 48 hours/week, and mandates overtime pay.]

4. SALARY AND DEDUCTIONS

The Employee shall be paid a gross salary of Rs. 18,000 per month. The Employer shall not contribute to the Employee Provident Fund (EPF) or Employees State Insurance (ESI). The Employee waives all rights to social security benefits under applicable law.

[NOTE FOR TESTING: This violates the EPF & Miscellaneous Provisions Act 1952 and ESI Act 1948. EPF and ESI are mandatory for eligible employees and cannot be waived by contract.]

5. TERMINATION AND PENALTY

If the Employee resigns before completing 2 years of service, the Employee shall be liable to pay the Employer a penalty of Rs. 1,00,000. The Employer may recover this amount by withholding the Employee's final salary, provident fund, and gratuity without any prior notice or legal process.

[NOTE FOR TESTING: Withholding PF is illegal under EPF Act. Gratuity withholding without due process violates the Payment of Gratuity Act 1972. Penalty clauses of this nature may be

unenforceable under Section 74 of Indian Contract Act 1872.]

6. NON-COMPETE CLAUSE

The Employee agrees that for a period of **5 years** after termination of employment, the Employee shall not work for any company in India that is engaged in software development, IT services, or technology consulting. Violation of this clause will result in legal action and a fine of Rs. 5,00,000.

[NOTE FOR TESTING: An overly broad non-compete restraining trade for 5 years across all of India is likely void under Section 27 of the Indian Contract Act 1872, which prohibits agreements in restraint of trade.]

7. CONFIDENTIALITY

The Employee shall not disclose any proprietary, confidential, or trade secret information belonging to the Employer during or after the term of employment. This obligation shall survive the termination of this agreement for a period of 3 years.

8. LEAVE POLICY

The Employee shall not be entitled to any paid annual leave, sick leave, or maternity/paternity leave during the first year of employment. Any absence without permission shall result in salary deduction at double the daily rate.

[NOTE FOR TESTING: This violates the Maternity Benefit Act 1961, and various State Shops & Establishments Acts which mandate minimum paid leave. Denying sick leave and earned leave is not permissible under Indian labour law.]

9. SIGNATURES

Employer: _____ Date: _____

Employee: _____ Date: _____

This document is created purely for testing Legal AI RAG systems. All issues marked in red are intentional for testing the AI's ability to detect legal violations.